

the store credit card. She convinced herself that she was saving money by using this credit card.

As her debt accumulated, so did the number of hours Jane was forced to work. Between working and studying, Jane started burning the candle at both ends. In fact, the more she worked part-time, the more she felt she deserved to eat out, enjoy a concert, and hit the clubs with friends. What Jane didn't realize at the time was that she had opened a Pandora's box of rising expectations that could only be satisfied with greater levels of debt and more hours of employment. It became a vicious cycle.

Soon her grades started to suffer because she had less and less time to spend studying. Before she knew it, she was working almost full-time and failing most of her classes. She decided to drop out for the semester and catch up financially. Unfortunately, by only making the minimum payment each month, her debt never seemed to go down. In addition, she had a tremendous amount of guilt because she had been lying to her parents who still thought she was in school.

Jane is living a lie, which will eventually be found out by her parents. The truth will come out and the longer she waits, the longer her college education is being delayed. Right now she is just treading water by making only the minimum payment each month on her \$6,000 in total debt. The following example puts into perspective the time it will take Jane to pay off her debt.

If a college freshman with a much lesser balance of \$2,000 quits charging on the card and only pays the minimum of \$40 due each month at 19 percent interest, he or she could earn a bachelor's degree, complete a master's program, and still have two years left to finish paying off that freshman plastic binge.

Once Jane accepts the fact that her current course of action cannot make a dent in her debt, she will hopefully be more willing to talk to her parents, discuss her situation with a

